

Calendar Line 9

Case Name: *Stapley, et al. v. Madison Terrace LLC, et al.*

Case No.: 25CV478811

Defendants Madison Terrace, LLC (“Madison”), Louis J. Mariani, Dorcas Justine Mariani, Jack N. Mariani, Linda E. Mariani, Martin Mariani, Mariani Nut Company, Inc., Andrew Mariani, Adam Mariani, Kelly Mariani, Matthew Mariani, Justin Mariani, Megan Mariani Lombard, Benjamin Mariani, Chris Mariani, Benjamin 1993 Trust and Chris Mariani 1993 Trust (collectively, “Defendants”) demur to the first amended complaint (“FAC”). Defendants’ request for judicial notice of the complaint and its allegations is GRANTED as to their *existence*. (Evid. Code § 452, subd. (d).) Defendants’ request for judicial notice is DENIED as to the Articles of Organization, the Amendment to the Articles of Organization, and the Statements of Information. While the documents’ existence and filing dates with the California Secretary of State may be proper subjects of judicial notice, Defendants seek to establish certain facts regarding their own actions which are neither official acts of a legislative, executive or judicial department nor a fact or proposition that is not reasonably subject to dispute. (See Evid. Code § 452, subds. (c), (h); see also *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 115 (stating that “a court cannot by means of judicial notice convert a demurrer into an incomplete evidentiary hearing in which the demurring party can present documentary evidence and the opposing party is bound by what that evidence

appears to show”); see also *New Livable California v. Association of Bay Area Governments* (2020) 59 Cal.App.5th 709, 716 (stating same).)

Defendants’ demurrer to the FAC on the ground that the causes of action against the trustee defendants are barred by the applicable statute of limitations is OVERRULED. “The sham pleading doctrine is not ‘intended to prevent honest complainants from correcting erroneous allegations... or to prevent correction of ambiguous facts.’” (*Larson v. UHS of Rancho Springs, Inc.* (2014) 230 Cal.App.4th 336, 344; see also *Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 426 (stating same); see also *JPMorgan Chase Bank, N.A. v. Ward* (2019) 33 Cal.App.5th 678, 691 (stating that “the sham pleading doctrine ‘cannot be mechanically applied’... the rule must be taken together with its purpose, which is to prevent [an] amended pleading which is only a sham, when it is apparent that no cause of action can be stated truthfully”); see also *Austin v. Medicis* (2018) 21 Cal.App.5th 577, 585 (stating that “for a demurrer based on the statute of limitations to be sustained, the untimeliness of the lawsuit must clearly and affirmatively appear on the face of the complaint”).)

Defendants’ demurrer to the FAC on the ground that it fails to allege facts supporting alter ego is OVERRULED. As a preliminary matter, Defendants rely on, in part, matters of which they sought judicial notice; however, as stated above, the Court did not take judicial notice of those facts as they are neither official acts of a legislative, executive or judicial department nor a fact or proposition that is not reasonably subject to dispute. Further, while Defendants address certain factors of the alter ego test, “[w]hether a party is liable under an alter ego theory is a question of fact... [n]o single factor is determinative, and the result depends on the circumstances of each particular case.” (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 403.)

Defendants demur to the FAC on the ground that all causes of action against the trustee defendants independently fail under the LLC liability shield asserting that “the alter ego allegations are boilerplate contradicted by Plaintiffs’ own financial admissions.” In light of the

Court's ruling above, Defendants' demurrer to the FAC on this ground is likewise
OVERRULED.

Plaintiffs shall prepare and submit a proposed order consistent with the Court's tentative
ruling.